



THE PUBLIC GENERAL ACTS OF 1981

Social Security (Contributions) Act 1981

1981 CHAPTER 1

An Act to make provision in connection with certain contributions payable under the Social Security Act 1975.
[29th January 1981]

BE IT ENACTED by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

1.—(1) In regulation 7 of the Contributions Regulations (lower Increase in and upper earnings limits for Class 1 contributions), as amended contributions by the Social Security (Contributions) (Earnings Limits) Amend- S.I. 1979/1483. ment Regulations 1979,—

- (a) for the words “6th April 1980” there are substituted the words “6th April 1981”; and
- (b) for “£23·00” and “£165·00” there are substituted, respectively, “£27” and “£200”.

(2) In section 4(6)(a) of the principal Act (amount of primary Class 1 contribution) for the words “6·75 per cent.” there are substituted the words “7·75 per cent.”.

(3) In regulation 104 of the Contributions Regulations (reduced rate Class 1 contribution of married women and widows) for the words “2 per cent.” there are substituted the words “2·75 per cent.”.

(4) In section 7 of the principal Act (amount of Class 2 contribution)—

(a) in subsection (1) (weekly rate) for “£2.50” there is substituted “£3.40”;

(b) in subsection (5) (small earnings exception) for “£1,250” there is substituted “£1,475”.

S.I. 1980/13.

(5) In regulation 98(c) of the Contributions Regulations (amount of Class 2 contribution of share fishermen), as amended by the Social Security (Contributions, Re-rating) Consequential Amendment Regulations 1980, for “£3.90” there is substituted “£5.15”.

(6) In section 8(1) of the principal Act (amount of Class 3 contribution) for “£2.40” there is substituted “£3.30”.

(7) In sections 9(2) and 10(1) of the principal Act (Class 4 contributions recoverable under Tax Acts and regulations)—

(a) for the words “5 per cent.” (amount of contribution) there are substituted, in each case, the words “5.75 per cent.”;

(b) for “£2,650” (lower limit) wherever that amount appears there is substituted “£3,150”;

(c) for “£8,300” (upper limit) there is substituted, in each case, “£10,000”.

Alteration of
Treasury
Supplement to
contributions.

2.—(1) In section 1(5) of the principal Act (Treasury supplement to contributions to be a fixed percentage of so much of all contributions paid in the year concerned as remains after deducting the appropriate national health service allocation and the appropriate employment protection allocation) for the words “18 per cent.” there are substituted the words “14.5 per cent.”.

(2) After subsection (5) of section 1 of the principal Act there is inserted the following subsection—

“(5A) The Secretary of State may, with the consent of the Treasury, by order amend subsection (5) above in relation to any tax year beginning after the tax year 1981–82 by substituting for the percentage for the time being specified in subsection (5) a different percentage; but no such order shall substitute a figure which represents an increase or decrease in the supplement of more than 2 per cent. of the relevant residue of contributions.”

Allocation of
contributions.

3.—(1) Section 134 of the principal Act (destination of contributions and Treasury supplements) is amended as follows.

(2) In subsection (4), in the definition of “the appropriate national health service allocation”—

- (a) in paragraph (a) (primary Class 1 contributions) for the words “0·4 per cent.” there are substituted the words “0·65 per cent.”;
- (b) in paragraph (c) (Class 2 contributions) for the words “8 per cent.” there are substituted the words “11·5 per cent.”;
- (c) in paragraph (d) (Class 3 contributions) for the words “8 per cent.” there are substituted the words “11·5 per cent.”; and
- (d) in paragraph (e) (Class 4 contributions) for the words “0·6 per cent.” there are substituted the words “0·85 per cent.”.

(3) After subsection (4) there are inserted the following subsections—

“(4A) The Secretary of State may, with the consent of the Treasury, by order amend any of paragraphs (a) to (e) of subsection (4) above, in relation to any tax year beginning after the tax year 1981–82, by substituting for the percentage for the time being specified in that paragraph a different percentage.

(4B) No order under subsection (4A) above shall substitute a figure which represents an increase or decrease in the appropriate national health service allocation of more than—

- (a) 0·1 per cent. of the relevant earnings, in the case of paragraph (a) or (b);
- (b) 4 per cent. of the relevant contributions, in the case of paragraph (c) or (d); or
- (c) 0·2 per cent. of the relevant earnings, in the case of paragraph (e).”.

4.—(1) In this Act—

“Contributions Regulations” means the Social Security Supplemental.
(Contributions) Regulations 1979; S.I. 1979/591.

“principal Act” means the Social Security Act 1975. 1975 c. 14.

(2) This Act does not apply in respect of any tax year before the tax year beginning with 6th April 1981.

(3) Nothing in section 120 of the principal Act (annual review of contributions) shall be taken to require the Secretary of State to carry out a review of earnings with a view to determining whether an order should be made under that section to have effect in relation to the tax year beginning with 6th April 1981.

1974 c. 28.

(4) An Order in Council under paragraph 1(1)(b) of Schedule 1 to the Northern Ireland Act 1974 (legislation for Northern Ireland in the interim period) which states that it is made only for purposes corresponding to those of this Act—

(a) shall not be subject to paragraph 1(4) and (5) of that Schedule (affirmative resolution of both Houses of Parliament); but

(b) shall be subject to annulment in pursuance of a resolution of either House.

(5) In section 167(1) of the principal Act (regulations and orders which are subject to affirmative resolution procedure) in paragraph (b)—

(a) after the words “by virtue of” there are inserted the words “section 1(5A),”; and

(b) at the end there are inserted the words “or section 134(4A)”.

(6) In section 122(3)(b) of the principal Act (power to amend percentages specified in relation to the appropriate national health service allocation and the appropriate employment protection allocation) for the words from “one or more” to “health service allocation and” there are substituted the words “percentage there specified in relation to”.

S.I. 1977/2180. (7) The Social Security (Contributions, Re-rating) (No. 2)
 S.I. 1979/1483. Order 1977, the Social Security (Contributions) (Earnings Limits)
 S.I. 1979/1694. Amendment Regulations 1979, the Social Security (Contributions,
 S.I. 1980/13. Re-rating) Order 1979 and regulation 3 of the Social Security
 (Contributions, Re-rating) Consequential Amendment Regulations 1980 are hereby revoked.

Short title
and extent.

5.—(1) This Act may be cited as the Social Security (Contributions) Act 1981.

(2) Subject to section 4(4), this Act does not extend to Northern Ireland.